Intensifying Saudi-Houthi conflict still likely to fall short of all-out war

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Odds of all-out war grow . Maximalist Houthi demands–buttressed by an emboldened Iran–and noteworthy countermobilization by Saudi Arabia and its allie||||||||||||||||

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Saudi-Houthi escalation risks are rising as the Yemeni militant group maintains maximalist financial and operational demands, but all-out war remains a lower-probability scenario in 2026 (35%, up from 15%).
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A simmering conflict marked by deterrence, posturing, and tit-for-tat strikes remains the basecase this year (55%, down from 60%), with a deal a distant possibility during the same period (10%, down from 25%).
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Major Red Sea oil disruptions or reduced Iraqi militia threats could push Riyadh toward a broader offensive.

Odds of all-out war grow. Maximalist Houthi demands–buttressed by an emboldened Iran–and noteworthy countermobilization by Saudi Arabia and its allies in Yemen are increasing the odds of an all-out war between the two sides in 2026 (35%, up from 15%) (see: Saudi oil disruptions to persist amid regional conflict in 2026 , 31 July 2026). The Tehran-backed militant group continues to demand a two-thirds share of oil revenues from the Saudi-supported Yemeni government, hundreds of millions of dollars from Riyadh to pay civil servant salaries, tens of billions of dollars in reparations from the kingdom, and full control over airports and ports in Houthi territory that would enable it to rebuild the airbridge with its Iranian patron. The Houthis are prepared to intensify missile and drone attacks on Saudi critical and energy infrastructure and Saudi-linked oil shipping in the Red Sea to extract concessions from the kingdom.

Saudi Arabia is in turn mobilizing the estimated 400,000 Yemeni fighters it supports to deter the group, supplying them with drones and upgrading their combat capabilities. Fighting has erupted on several fronts within Yemen, as the Houthis carry out preemptive strikes on the massing forces. Riyadh is also readying to launch retaliatory strikes in response to expanded Houthi attacks on its territory, coordinating closely with Washington on the requirements for a Saudi air campaign against the Houthis.

Saudi Defense Minister Prince Khaled bin Salman reportedly secured a US commitment to provide intelligence, surveillance, and reconnaissance (ISR) support—crucial for the kingdom's targeting ability—in addition to the necessary munitions required for a campaign during his 30 July White House meeting with President Donald Trump. The US, however, reportedly stopped short of making any commitment toward joining a possible war with the Houthis.

A simmering conflict remains the basecase. Nonetheless, neither side has decided to enter an all-out war, and the conflict will probably simmer as both posture and engage in tit-for-tat strikes to pressure the other to back down (55%, down from 60%). Saudi Arabia's willingness to counter-escalate, alongside the formation of the Red Sea Maritime Defense coalition and the Mecca Joint Defense Agreement in July and August, respectively, are aimed at deterring the Houthis from expanding their hostilities rather than an effort by the kingdom to enter a broader war (see: Deepening 'Islamic Coalition' bolsters Saudi security as trust in US weakens , 07 August 2026).

The Saudi leadership is keenly aware that while it has escaped the war with Iran largely unscathed, an all-out war with the Houthis could severely damage its energy industry. That would further damage the prospects of its Vision 2030 economic development and diversification ambitions—already under pressure from the war and tough fiscal conditions. A senior Saudi source told Eurasia Group: "We do not want to lose half of Aramco over a showdown with the Houthis." A compromise remains unlikely this year (10%, down from 25%).

Similarly, the Houthis recently reached out to the Saudis via Pakistan and are unlikely to gamble their hold on power by entering a full-on war at a time when they remain unable to pay public sector salaries, including to most of their fighters. Resentment is reportedly growing in Houthi-controlled areas, and the balance of power within Yemen can shift dramatically if the large Saudi-supported force can mount a coordinated offensive from multiple fronts. The Houthi leadership has proven pragmatic, if tough to negotiate with, in the past. They understand that they can utilize Iran to gain leverage against Saudi Arabia, but that ultimately, they must come to an understanding with their wealthier and more capable neighbor.

Diminished Iraqi militia threat or falling Red Sea oil exports would galvanize Saudi offensive. Saudi Arabia's continued ability to export oil through the Red Sea and its vulnerability to attacks by Iran-backed Iraqi Shia militias are key watchpoints for whether Riyadh's calculus on military escalation shifts. Despite the Houthi blockade on Saudi oil, the kingdom continues to export there, with about 40% still going through the Bab el-Mandeb Strait and the remaining 60% rerouted through the Suez Canal.

However, attacks by the Yemeni militant group that significantly suppress Saudi exports, or the neutralization of the threat posed by the Iraqi militias—unlikely for the foreseeable future in spite of Baghdad's pledge to disarm them by 30 September—could galvanize Riyadh to launch a broad offensive against the Houthis (see: Iraq gives Trump what he wants on militias and oil , for now, 02 July 2026). If the Saudi-Houthi conflict descends into all-out war, coupled with US-Iran escalation in the Persian Gulf, the combined effect of disruptions in the Red Sea and the Strait of Hormuz would push prices into a higher band of $110-$130.

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